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S. Classification of current and non-current assets and liabilities

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Group has identified twelve months as its operating cycle for determining current and non-current classification of assets and liabilities in the Balance sheet, other than deferred tax assets and liabilities which are classified as non current assets and liabilities respectively. For this purpose, current asset and liabilities include the current portion of non-current assets and liabilities respectively.

T. Exceptional Items

Exceptional items refer to items of income or expense, within the statement of profit and loss from ordinary activities which are non-recurring and are of such size, nature or incidence that their separate disclosure is considered necessary to explain the performance of the Group.

U. Asset Acquisition

Transactions in which the Group acquires assets and assumes liabilities that do not meet the definition of a business under Ind AS 103 are accounted for as asset acquisitions. The cost of acquisition is allocated to the identifiable assets acquired and liabilities assumed based on their relative fair values at the acquisition date. No goodwill or bargain purchase gain is recognised in such transactions.

V. Events after reporting date

If the Group receives information after the reporting period, but prior to the date of approved for issue, about conditions that existed at the end of the reporting period, it will assess whether the information affects the amounts that it recognises in its consolidated financial statements. The Group adjusts the amounts recognised in its financial statements to reflect any adjusting events after the reporting period and updates the disclosures that relate to those conditions in light of the new information. For non-adjusting events after the reporting period, the Group does not change the amounts recognised in its consolidated financial statements but discloses the nature of the non-adjusting event and an estimate of its financial effect, or a statement that such an estimate cannot be made, if applicable.

3.1 Use of significant accounting judgments, estimates and assumptions

The preparation of the Group's consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future period, if the revision affects current and future period. Revisions in estimates are reflected in the consolidated financial statements in the period in which changes are made and, if material, their effects are disclosed in the consolidated notes to the financial statements.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

I. Classification of legal matters and tax litigations (Refer Note 53)

The litigations and claims including tax matter to which the Group is exposed to are assessed by management with assistance of the legal department and in certain cases with the support of external specialised lawyers. Determination of the outcome of these matters into "Probable, Possible and Remote" require judgement and estimation on case to case basis.

II. Defined benefit obligations (Refer Note 56)

The cost of defined benefit gratuity plans, and post-retirement medical benefit is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increases, future salary changes due to changes in regulation, mortality rates and future pension increases. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

III. Useful life of Property, plant and equipment (Refer Note 4)

The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value. Increasing an asset's expected life or its residual value would result in a reduced depreciation charge in the consolidated statement of profit and loss. The useful lives of the Group's assets are determined by management / technical expert at the time the asset is acquired and reviewed at least annually for appropriateness. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology, laws related to climate change, etc.

IV. Impairment of Property, plant and equipment and Goodwill (Refer Note 4)

Determining whether the property, plant and equipment are impaired requires an estimate of the value of use. In considering the value in use, the management has anticipated the capacity utilisation of plants, changes in technology, operating margins, mineable resources and availability of infrastructure of mines, and other factors of the underlying businesses / operations. Any subsequent changes to the cash flows due to changes in the above-mentioned factors could impact the carrying value of property, plant and equipment.

Determining whether Goodwill is impaired requires an estimate of the value in use. Impairment exists when the carrying value of an cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a DCF model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes. These estimates are most relevant to goodwill and other intangibles with indefinite useful lives recognised by the Group. The key assumptions used to determine the recoverable amount for the different CGUs, including a sensitivity analysis, are disclosed and further explained in Note 6.

V. Grants / claims under the State Industrial Policy (Refer Note 13 and 21)

The Group's manufacturing units in various states are eligible for grants under the respective State Industrial Policy. The Group accrues these grants as refund claims in respect of VAT/GST paid, on the basis that all attaching conditions were fulfilled by the Group and there is reasonable assurance that the grant claims will be acknowledged and disbursed by the State Governments.

In respect to Capital subsidies, the Group has elected to present the grant in the balance sheet as deferred income, which is recognised in consolidated statement of profit or loss on a systematic and rational basis over the useful life of the asset.

The Group measures expected credit losses in a way that reflects the time value of money. Any subsequent changes to reasonable assurance or the estimated recovery period (mainly on account of change in status of litigations, changes in government policy / regulation,

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etc.) could impact the carrying value of grant receivable.

VI. Discounts to customers (Refer Note 41)

The Group provides discount on sales to certain customers. Revenue from these sales is recognised based on the price charged to the customer, net of the estimated pricing allowances and discounts. In certain cases, the amount of these discount are not determined until claims with appropriate evidence is presented by the customer to the Group, which may be some time after the date of sale. Accordingly, the Group estimates the amount of liability for such discounts basis the terms of contract, discount schemes, historical experience adjusted with the forward looking, business forecast and the current economic conditions. To estimate the amount of discounts, the Group uses the most likely method. Such estimates are subject to the estimation uncertainty and are reviewed at each reporting date. Any subsequent change in the estimate is recognised in the period in which such change occurs and is adjusted in Revenue from operations in the consolidated financial statements.

VII. Physical verification of Inventory (Refer Note 15)

Bulk inventory for the Group primarily comprises of coal, petcoke and clinker which are primarily used during the production process at the manufacturing locations. Determination of physical quantities of bulk inventories is done based on volumetric measurements and involves special considerations with respect to physical measurement, density calculation, moisture, etc. which involve estimates / judgments.

VIII. Leases - Estimating the incremental borrowing rate (Refer Note 57)

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow, in a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay'. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain estimates (such as the credit rating).

IX. Fair value measurement (Refer Note 59)

In measuring the fair value of certain assets and liabilities for financial reporting purpose, the Group uses market observable data to the extent available. Where such Level 2 inputs are not available, the Group engages third party qualified valuers to establish appropriate valuation techniques and inputs to the model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

X. Fair valuation of assets acquired in business combination

Mining Reserves:

The Group has applied the Income Approach, specifically the Differential Cash Flow Method, to determine the fair value of limestone mining reserves. This approach reflects the incremental economic benefits derived from ownership of the mining rights/ reserves over the forecast period, compared to sourcing limestone from the open market, and is considered appropriate given the nature of the asset and its finite tenure. The resulting post-tax cash flows are discounted to present value using the appropriate Weighted Average Cost of Capital ('WACC'), adjusted with an appropriate risk premium to reflect the higher risks associated with the Mining Reserves

Brand:

The Group has applied the Relief from Royalty ("RFR") approach to determine the fair value of Brand. Under this method, the value of the brand is determined based on the estimated royalty payments that the Group is relieved from paying by virtue of owning the brand, rather than licensing it from a third party. The valuation is based on projected revenues attributable to the brand over its estimated useful life and an appropriate royalty rate derived from comparable market licensing arrangements. The resultant post-tax cash flows are discounted to their present value using the Weighted Average Cost of Capital ('WACC'), adjusted with an appropriate risk premium to reflect the higher risks associated with the Brand.

Dealer Network:

The Group has used the Incremental Income Method for Fair Valuation of Dealer networks. Under this method, the value of the dealer network is determined based on the incremental cash flows expected to be generated from the acquired network as compared to the cash flows that would be incurred or would accrue as a result of establishing a similar network independently. The Fair valuation is based on projected incremental cash flows attributable to the dealer network over its estimated useful life. The resultant post-tax cash flows are discounted to their present value using the Weighted Average Cost of Capital ('WACC'), adjusted with an appropriate risk premium to reflect the higher risks associated with the Dealer Network.

Non-compete:

The Group has applied the Income Approach, specifically the Economic Damage Approach, to determine the fair value of non-compete. Under this method, the value of non-compete is determine by projecting the operating income from acquired business and analyze the risk of maximum potential damage that could arise if the seller competes with acquired business. The valuation is based on expected value of losses based on likelihood that the seller would compete with acquired business. The resultant post-tax cash flows are discounted to their present value to arrive at fair value of non-compete.

Freehold land:

Freehold land was valued using the sales comparison method using prevailing rates of similar plots of land, circle rates provided by department of revenue and general market intelligence based on size of land parcel.

Leasehold land:

Leasehold land was valued basis the leasehold interest for the remaining duration of the lease.

Other Fixed Assets (Except Land):

The cost approach has been adopted for fair valuing all the major Fixed Assets (like Buildings, Plant & Machinery, Electrical Installations, Lab equipment), except other Fixed Assets (like Vehicles, Office Equipment, Furniture & Fixtures and Computers), which have been measured at the old book values less depreciation. The cost approach includes calculation of depreciated replacement cost using price trends applied to historical cost and capitalisation of all the indirect cost. In the case of buildings in cement plants, appropriate weightages have been applied to cement, iron & steel and labour indices to arrive at the escalation factor and depreciating the same for past usage based on estimated total and remaining useful life of the asset.

3.2 New and Amended Standards:

Ministry of Corporate Affairs ("MCA") notified new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. During the year ended March 31, 2026, MCA has notified the Companies (Indian Accounting Standards) Amendment Rules, 2025 applicable to the Group w.e.f. April 1, 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but not yet effective.

(i) Amendments to Ind AS 21 - Lack of exchangeability

The amendment requires the Effects of Changes in Foreign Exchange Rates to specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

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(II) Goodwill arising on acquisition has been provisionally determined as follows:

₹ in crore

Particulars	Final Goodwill
Purchase Consideration:	
Consideration paid in Cash	532.87
Subtotal (A)	**532.87**
Net Assets Acquired:	
Fair value of assets acquired	1,317.01
Fair value of liabilities assumed (including deferred tax liabilities on fair value adjustment)	(1,030.58)
Subtotal (B)	**286.43**
Goodwill (A-B)	**246.44**

(III) Impact of acquisition on the financial statements

Since the acquisition date, revenue of ₹ 201.65 Crore and Total comprehensive (loss) of (₹ 22.52) Crore has been included in the consolidated statement of profit and loss for the year ended March 31, 2026.

Had the business combination occured at the begining of the year, the revenue at the consolidated level would have increased by ₹ 127.45 Crore and Total comprehensive income would have increased by ₹ 19.75 Crore respectively for the year ended March 31, 2026.

(IV) Impact of Deferred tax asset amounting to ₹ 44.25 Crore, has been recognised on business combination, on acquisition date fair values and adjusted in Goodwill as per Ind AS - 12 Income Taxes.

h The reconciliation of the reported and restated financial statements due to acquisition reported in note c are as below

(I) Consolidated Statement of profit and loss

₹ in crore

Particulars	For the Year ended March 31, 2025	
	Reported	Restated
Revenue from Operations (Refer note 41)	33,697.70	33,989.38
Profit before tax	5,922.37	6,103.67
Profit after tax	5,158.41	5,294.08
Total comprehensive income	**5,118.78**	**5,254.45**

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(II) Consolidated Balance sheet

₹ in crore

Particulars	As at March 31, 2025	
	Reported	Restated
Non-current assets	61,228.26	61,663.71
Current assets (Refer note 75)	19,710.38	19,435.88
Non-current assets classified as held for sale	6.77	6.77
Total Assets	**80,945.41**	**81,106.36**
Total Equity	63,811.42	63,947.09
Non-current liabilities	3,288.73	3,314.01
Current liabilities	13,845.26	13,845.26
Total Equity and Liabilities	**80,945.41**	**81,106.35**

On account of above acquisitions, as mentioned in note 68 (e), (f) and (g) the numbers of the current period are not comparable to the previous period to that extent.

There is no impact on Consolidated Cashflow statement on account of above restatement and hence reported and restated is not disclose.

Note 69 - Money received against Share Warrants

The Holding Company had allotted 47,74,78,249 convertible warrants to Harmonia Trade and Investment Limited ("Harmonia") (a promoter group entity) on October 18, 2022, for an issue price of ₹ 418.87 per warrant. Out of total issue price, ₹ 104.72 (25% of the issue price) per warrant was received as the initial subscription amount at the time of allotment of the warrants in the financial year 2022-23. Out of 47,74,78,249 convertible warrants, Harmonia opted to exercise and convert 21.20,30,758 warrants on March 28, 2024 and 26,54,47,491 warrants on April 15, 2024 and April 16, 2024 by paying balance subscription amount of ₹ 314.15 per warrant (i.e. 75% of the issue price) and thus an allotment of equity shares of face value of ₹ 2 each, at a premium of ₹416.87 per share was made to Harmonia on March 28, 2024 and April 17, 2024 respectively during the financial year 2023-24 and 2024-25.

Note 70 - Exceptional Items: Expense / (Income)

Exceptional items represents: a) Stamp duty payable on account of amalgamations, b) Impact due to implementation of new labour law, c) Receivable, Infrastructure Development Cess and Environment Cess, Chhattisgarh, d) VAT/ CST incentive. disputed provided for, e) Government Grant, West Bengal state, fully provided for, f) Expense of litigated and disputed matter, electricity duty, g) Indemnification Claim received, h) Vendor dispute claim settlement, i) Impairment loss on Property, Plant and Equipment and Right of use assets of non-operational clinker manufacturing units and j) Gain on sale of Property, Plant and Equipment which are as under:

₹ in crore

Particulars		For the year ended March 31, 2026	For the year ended March 31, 2025
I)	Stamp duty payable on account of amalgamations (Refer note 73)	89.90	-
II)	Impact due to implementation of new labour law (Refer note (a) below)	119.55	-
III)	Receivable, Infrastructure Development Cess and Environment Cess, Chhattisgarh (Refer note b below)	(205.23)	-
IV)	VAT I CST incentive, disputed provided for (Refer note 53 (c) (i))	113.52	-
V)	Government Grant, West Bengal state, fully provided for (Refer note 42 (ii))	222.80	-
VI)	Expense of litigated and disputed matter, electricity duty (Refer note 53 (g))	-	121.20

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₹ in crore

Particulars		For the year ended March 31, 2026	For the year ended March 31, 2025
VII)	Indemnification Claim received (Refer note 53 (g))	(40.00)	-
VIII)	Vendor dispute claim settlement (Refer note (c) below)	-	62.00
IX)	Impairment loss on Property, Plant and Equipment and Right of use assets of nonoperational clinker manufacturing units (Refer note (d) below)	-	207.28
X)	Gain on sale of Property, Plant and Equipment (Refer note (e) below)	-	(369.01)
Exceptional items Expense (net)		**300.54**	**21.47**

a) As on November 21, 2025, the Government of India notified four Labour Codes effective immediately replacing the existing 29 labour laws. The impact of implementation of the Labour Codes has resulted in an increase of ₹ 119.55 Crore in the liabilities for defined benefit obligation which includes permanent and contractual employees and for compensated absences of the group. The amount has been measured and recognised based on management assessment of the impact of defined benefit obligation and compensated absences on such implementation and net incremental liability has been recognised as an "Exceptional Items" for the year ended March 31, 2026.

The Group continues to monitor the finalisation of Central and State Rules, as well as Government clarification on other aspects of the Labour Codes, and will recognise the consequential impact, if any, based on such developments.

b) As explained in note 13(e), the Holding Company and ACC has recognised a receivable of ₹ 134.43 Crore and ₹ 91.48 Crore respectively during the year ended March 31 , 2026. Out of the total receivable, a credit of ₹ 205.23 Crore is disclosed under Exceptional items, pertaining to the amount relating to earlier years up to March 31. 2025, in consolidated statement of profit and loss for the year ended March 31, 2026.

c) i) ACC Mineral Resources Limited (AMRL, "the step down subsidiary Company"), through its joint operations had secured development and mining rights of Bicharpur Coal Block allotted to Madhya Pradesh State Mining Corporation Limited in the financial year 2008-09. AMRL had appointed "M/s JMS Mining Private Limited (JMS)" on November 26, 2013 as its contractor for the development and operation of the said Coal Block. The allocation of the said coal block stood cancelled pursuant to the judgment of Supreme Court dated August 25, 2014 read with its order dated September 24, 2014.

Due to cancellation of above mentioned coal block by Hon'ble Supreme Court, there was pending contractual dispute between JMS and AMRL since FY 2014-15 which was referred to Arbitrator appointed by Bombay High Court for settlement. During the course of the pending arbitral proceedings before the Arbitrator, JMS and AMRL amicably decided to settle all the claims for a sum of ₹ 35 Crore vide Consent Terms dated September 18, 2024 which was filed and settled before Honorable Arbitrator on October 11, 2024. The settlement transaction pertaining to year ended March 31, 2025, has been disclosed as an "Exceptional item" in consolidated statement of profit and loss.

ii) During the year ended March 31, 2025 in the matter relating to arbitration claim initiated by certain parties ("Claimants") against the Subsidiary Company ACC Limited ("ACC") for termination (in the earlier years) of the Cement Purchase Agreement ("CPA") dated September 12, 2012, read with its Addendum dated October 15, 2013, and Memorandum of Understanding dated September 2012, for a long term contract for purchase of cement by the ACC. by setting up two Cement Grinding Units, the ACC and Claimants have amicably and mutually settled all their pending disputes before the Arbitral Tribunal as per the Tribunal order dated February 20, 2025.

Before the Tribunal Order dated February 20, 2025, the Claimants and the ACC had entered into an arrangement to settle the subsisting disputes including claims and counter claims between the parties and the ACC. ACC has settled the Claimants' claim by paying ₹ 27 Crore, towards disputes / claims and disclosed the same as exceptional item in the year ended March 31, 2025.

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d) The Subsidiary Company, the ACC Limited ("ACC") had identified that carrying value of property, plant and equipment and right of use assets (tangible assets) of non-operational clinker manufacturing units at Wadi-1, Bargarh and Chaibasa. being impaired, based on unviable future business prospects and economic viability due to higher cost of manufacturing, shortage of raw material etc. ACC has carried out a review of the recoverable amount of the tangible assets used in the clinker manufacturing facility at the above-mentioned three units. The recoverable amount from such tangible assets is assessed to be lower than it's carrying amount and consequently an impairment loss of ₹ 207.28 Crore was disclosed as exceptional item in the Consolidated statement of profit and loss in the year ended March 31, 2025.

e) The Subsidiary Company, the ACC Limited ("ACC") had entered into a Memorandum of Understanding ("MoU") with Camrose Realtors Private Limited, a related party to sell its surplus land at Thane on "As is where is basis" (Held For Sale) on April 9, 2024 for a consideration of ₹ 385 Crore subject to fulfillment of certain conditions precedent including regulatory approvals. During the year ended March 31 , 2025, ACC concluded the sale of land by entering into a Conveyance deed dated March 25, 2025, after necessary approvals were received from the various government authorities. The land has been sold at an agreed consideration of ₹ 385 Crore and same is realised during the year ended March 31, 2026, as per the agreed terms of MOU. The resultant net gain on disposal of Property, Plant and Equipment of ₹ 369.01 Crore was disclosed as exceptional item in the consolidated statement of profit and loss in the year ended March 31. 2025.

Note 71

During the previous financial year 2024-25, the Holding Company's management became aware of an indictment filed by United States Department of Justice (US DOJ) and a civil complaint by Securities and Exchange Commission (US SEC) in the United States District Court for the Eastern District of New York (EDNY) against a non-executive director of the Holding Company. The director is indicted on three counts, namely (i) alleged securities fraud conspiracy (ii) alleged wire fraud conspiracy and (iii) alleged securities fraud for making false and misleading statements and as per US SEC civil complaint, director omitting material facts that rendered certain statements, misleading to US investors under Securities Act of 1933 and the Securities Act of 1934. The Holding Company has not been named in these matters.

During the year ended March 31, 2026, the legal counsels representing the director have agreed to accept service of US SEC on behalf of such director, without accepting the jurisdiction of EDNY and reserving all rights and defences available to them. Subsequently, the legal counsels had filed letter with EDNY court and sought pre-motion conference in the matter including grounds for dismissal of the US SEC's civil complaint based on all defences including as to jurisdiction and merits of the matters. As at reporting date, the matter is pending to be heard by EDNY court.

Having regard to the status of the above-mentioned matters as at reporting date, and the fact that the matters stated above do not pertain to the Holding Company, there were no impact to the Holding Company as at previous year ended March 31, 2025. There are no changes to the above conclusions as at and for the year ended March 31, 2026.

Note 72- Amalgamation of ACC Limited and Orient Cement Limited:

During the year ended March 31, 2026, the Board of Directors of the Holding Company ("Amalgamated Company" or "Transferee Company" or "Company") vide its resolutions dated December 22, 2025, approved –

i. The Scheme of Amalgamation of the Holding Company's subsidiary ACC Limited ("Amalgamating Company") ("Scheme 1") with the Company pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 ("Act") read with the rules framed thereunder w.e.f. appointed date January 1, 2026.

ii. The Scheme of Amalgamation of the Holding Company's subsidiary Orient Cement Limited ("Transferor Company") ("Scheme 2") with the Company pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 ("Act") read with the rules framed thereunder w.e.f. appointed date May 1, 2025.

[Collectively the "Scheme 1" and "Scheme 2" be referred to as "Schemes"].